



Tort Law (9th edn)

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p. 184 7. Special duty problems: Economic loss

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Abstract

This chapter explains when and how the courts have found that a duty of care should be owed by defendants for purely economic loss. This differs from ‘consequential’ economic loss, where financial loss is suffered as a secondary consequence of another harm, such as personal injury or property damage. The tort of negligence distinguishes between these, using duty of care as a device to control whether and when claimants will be able to recover their pure economic losses. The discussions cover the meaning of ‘pure’ economic loss; exceptions to the exclusionary rule; claims for pure economic loss in negligence before *Murphy v Brentwood District Council* [1990]; and extended applications of the principles established in *Hedley Byrne v Heller* [1963].

Keywords: duty of care, pure economic loss, negligence, tort law, *Murphy v Brentwood District Council*, *Hedley Byrne v Heller*, assumption of responsibility, reliance

Problem question

Read this problem question carefully and keep it in mind while you are working through the chapter that follows. At the end of the chapter you will be able to apply what you have learnt to the problem question and advise the relevant parties.

Rachael and Chakir invested £600,000 in Read-Sing-Sign, a children’s charity bookshop, after speaking to Arya, a personal friend who is also an auditor. Arya had prepared a financial report for the trustees of the shop, but showed it to Rachael and Chakir ‘off the record’. This showed that the bookshop was doing well and made good annual profits. It later transpired that the audit was inaccurate as Arya failed to include some unpaid debts in the figures. The shop was in fact worthless.

Meanwhile, Rachael, who was relying on a £300,000 inheritance from her grandfather in order to be able to pay for her share of the shop, was told by the solicitors dealing with her grandfather's will that it is invalid and the terms of his previous will, which left everything to a local cats' home, would have to be followed. This is because he failed to sign both copies of the latest version of the will. The solicitor's copy was filed without checking the signature was present.

Advise Rachael and Chakir as to the likelihood of success of any claims in negligence that they may take.

p. 185 7.1 Introduction

Consider the following situations:

- *A driver negligently crashes his car in the Dartford Tunnel, blocking both lanes. As a result, a ten-mile tailback develops. Caught in this tailback are:*
 - (a) *Guy, a businessman, hurrying to close a lucrative contract for his company;*
 - (b) *Venus, trying to get to the sales early to buy a cheap 4K TV, one of only 25 available;*
 - (c) *Brody, who needs to get to work on time or his wages will be docked.*
- *In the same accident, another driver is seriously injured and is unable to work for a year.*
- *A council workman negligently cuts a power cable supplying a factory. The factory has to shut for two days, losing profit as a result.*
- *A financial advisor negligently advises a client to invest in a company, which later goes bankrupt, causing the client to lose his investment.*
- *A builder negligently constructs the foundations of a house. When new owners move in the walls start cracking, causing the house's value to decrease.*
- *A man buys a washing machine and, after only a week, it malfunctions, flooding his kitchen and ruining the flooring. It cannot be fixed.*

Many of the losses we encounter when looking at negligence (and tort law more generally) are 'economic'. Even some non-economic losses may *appear* financial in nature because the way tort law 'fixes' many of the harms caused by negligence is to pay compensation. Because money is usually the answer, there is a tendency to view all harms economically, asking 'how much is that worth?'¹

In this chapter, we are concerned with losses that are truly *only* economic in nature—so-called 'pure' economic losses. These differ from 'consequential' economic losses, where financial loss is suffered as a secondary consequence of another harm, such as personal injury or property damage. The tort of negligence

distinguishes between these, using duty of care as a device to control whether and when claimants will be able to recover. It is difficult, as we shall see, to establish a duty in respect of *pure* economic loss, even where that loss is indisputably caused by the defendant's negligence. Like psychiatric harm, pure economic loss is a harm that negligence does not easily recognise. One reason for this is that liability for such losses is often regarded as better dealt with elsewhere, such as in contract law or the 'economic torts'.²

This chapter considers when the courts have found that a duty of care should be owed by defendants when the harm they cause is purely economic. As we will see, this depends on the *type* of negligence that the harm originates from. Pure economic loss is, generally speaking, recoverable if it stems from carelessly made statements or advice in the context of certain relationships in which there is an 'assumption of responsibility', but not when it results from what has been termed a careless 'activity'.³

p. 186 7.2 What is 'pure' economic loss?

The starting point is to decide whether a financial loss is 'pure' economic loss. Financial losses caused by negligence can generally be split, initially, into two categories: pecuniary (related to money) and non-pecuniary (i.e. loss not susceptible to precise arithmetical calculation, including pain, suffering, mental distress and so on). A further distinction can be made between pecuniary losses that are consequent on another type of harm having occurred (e.g. lost earnings after being injured in an accident or the cost of repairing a car after someone has crashed into it) and those financial losses that are 'pure'—that is, *not* consequent on any other type of harm. The categorisation of some losses as 'purely' economic is best understood as a judicial construction designed to distinguish between different types of economic loss to prevent (or limit) recovery (see **Figure 7.1**).

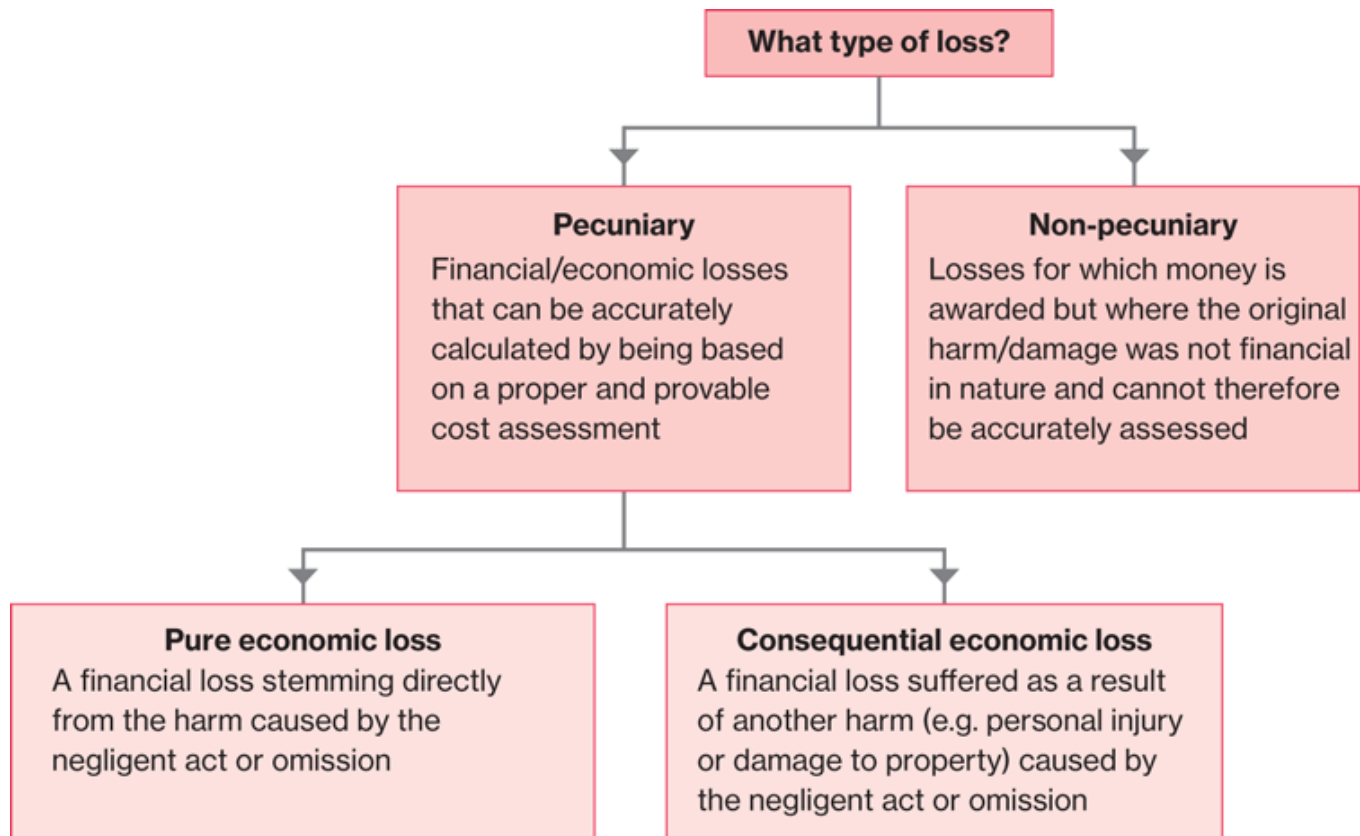


Figure 7.1 Types of loss in negligence

The difference between pure and other types of economic loss is illustrated well by *Spartan Steel & Alloys Ltd v Martin & Co (Contractors) Ltd* [1973].

***Spartan Steel & Alloys Ltd v Martin & Co (Contractors) Ltd* [1973] 1 QB 27 (CA)**

While digging up a road the defendant contractors negligently cut an electricity cable supplying power to the claimant's factory, leaving it without power for 14 hours. In this time, the factory owners could not operate their steel furnace. There was a possibility that the molten steel inside the furnace (the 'melt') would solidify and cause damage; the 'melt' had to be poured away and the factory closed. The factory owners claimed damages under three heads:

- (1) the damage to the steel in the furnace at the time of the power cut, which had to be thrown away;
- (2) ↺ the loss of profit that could have been made by selling the steel in the furnace; and
- (3) the anticipated lost profit on other steel that would have been processed during the period the factory was closed.

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A majority of the Court of Appeal allowed recovery for the first two heads of damage but found that the third, the *anticipated* profit, was not recoverable.

The first loss was straightforward physical damage to property, for which recovery in tort is unproblematic. The second was *consequential* economic loss (the lost profit was directly consequent on the damaged property). The third, however, was regarded as *pure* economic loss (although a result of the negligence it was not directly consequent on damage to property) in respect of which no duty of care arose.

Spartan Steel shows that a duty of care is owed only in respect of financial losses relating to damage directly caused by the defendant's negligence. This includes additional financial losses (e.g. lost profit) that are incurred as a *direct* result of the damage. However, lost profits which are not a direct result of the defendant's negligence are deemed 'purely economic', attracting no duty.⁴ On this view, the losses incurred by Guy, Venus and Brody in the scenarios at the start of the chapter are pure economic losses, whereas the loss of earnings suffered by the driver injured in the accident in the tunnel would be consequential upon his injuries and, therefore, recoverable.

Pause for reflection

Would the outcome of *Spartan Steel* have been any different if the cable supplying the electricity had been owned *by the factory*?

It appears so. Had the factory owned the cable then damage caused by the contractors would be recoverable property damage, making all the other losses 'consequential', including the lost profit on the steel that could not be processed while the factory was closed.

Do you think that such a relatively small factual difference (the ownership of the cable) should have such a significant effect on the amount of damages recoverable?

The ownership idea seems to be supported by *Leigh and Silavan Ltd v Aliakmon Ltd (The Aliakmon)* [1986]. The claimants were purchasers of steel coils negligently damaged in transit while being shipped on *The Aliakmon*. They had neither legal nor possessory title until after the goods had been paid for so were deemed unable to recover for the economic loss suffered. Explaining the extent of the exclusionary rule, Lord Brandon said:

in order to enable a person to claim in negligence for loss caused to him by reason of loss of or damage to property, he must have had either the legal ownership of or a possessory title to the property concerned at the time when the loss or damage occurred. (at 809)

↩ In *The Aliakmon*, the claimants argued that they had *equitable* ownership of the goods despite not having legal title and that equitable ownership should be enough to enable them to bring an action for damage to the cargo. Lord Brandon rejected that submission because the legal owner had not been joined as party to the action.

In *Shell UK Ltd and others v Total UK Ltd and others* [2010] (part of the litigation following massive explosions at the Buncefield oil storage depot in 2005), Shell claimed damages for economic losses it suffered when two oil pipelines it used—but did not own—were damaged. This caused it to lose money on aviation fuel it normally delivered to major airports, as well as fuel it usually sent out in tankers. The Court of Appeal distinguished *The Aliakmon* because Shell had a *beneficial* interest in the damaged property, so could claim for economic losses provided they joined the legal owners as parties to the action:

[A] duty of care is owed to a beneficial owner of property (just as much as to a legal owner of property) by a defendant, such as Total, who can reasonably foresee that his negligent actions will damage that property. If, therefore, such property is, in breach of duty, damaged by the defendant, that defendant will be liable not merely for the physical loss of that property but also for the foreseeable consequences of that loss, such as the extra expenditure to which the beneficial owner is put or the loss of profit which he incurs. Provided that the beneficial owner can join the legal owner in the proceedings, it does not matter that the beneficial owner is not himself in possession of the property. (at 142)⁵

In *Spartan Steel*, Lord Denning MR articulated various policy considerations that precluded recovery of damages for the anticipated lost profits, not least the fact that power failures were a fact of life:

This is a hazard which we all run. It may be due to a short circuit, to a flash of lightning, to a tree falling on the wires, to an accidental cutting of the cable, or even to the negligence of someone or other. And when it does happen, it affects a multitude of persons: not as a rule by way of physical damage to them or their property, but by putting them to inconvenience, and sometimes to economic loss. The supply is usually restored in a few hours, so the economic loss is not very large. Such a hazard is regarded by most people as a thing they must put up with—without seeking compensation from anyone. Some there are who install a stand-by system. Others seek refuge by taking out an insurance policy against breakdown in the supply. But most people are content to take the risk on themselves. When the supply is cut off, they do not go running round to their solicitor. They do not try to find out whether it was anyone's fault. They just put up with it. They try to make up the economic loss by doing more work next day. This is a healthy attitude which the law should encourage. (at 38)

He went on to say that if such claims were allowed, inflated claims might be made for lost profits that were simply not provable and for which the level of mitigation attempted could not be established. He was also conscious of the burden of ‘crushing liability’:

[T]he risk of economic loss should be suffered by the whole community who suffer the losses ... rather than on the one pair of shoulders, that is, on the contractor on whom the total of them, all added together, might be very heavy. (at 39)

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↪ It seems then that policy considerations lie behind the courts’ continued reliance on an exclusionary rule in relation to pure economic loss, including the fear that allowing such claims would lead to a flood of further claims of that nature. This, in turn, could lead to what is known as ‘crushing liability’, where one defendant, from one careless act, ends up being substantially liable to numerous claimants.⁶

Consider again the first scenario outlined at the start of the chapter. While the negligent driver of the car would clearly owe a duty of care to other drivers not to cause them physical harm or property damage (and would also be liable for any financial losses consequent on those harms, such as loss of earnings or the cost of repairs), if he was found to owe a duty in respect of pure economic losses, he would have to compensate anyone in the tailback behind him who foreseeably suffered an economic loss of any kind. Thus, if Guy failed to make his meeting and secure his lucrative contract, the driver would be liable for the sum that he expected to make. Similarly, if Venus failed to make it to the shop before closing time, she would have to be compensated for the difference in price between the sale TV and the usual price.

This argument—often referred to as a ‘floodgates’ argument—is grounded in the assumption that it is better to prevent *all* claims by denying a duty than to allow a ‘flood’ of claims. Moreover, it is generally accepted that a role of the law in a market economy is to shape and develop the framework in which the market should operate with maximum efficiency and one way this is achieved is by preventing claims for pure economic losses.⁷

Counterpoint

Edmund Davies LJ, dissenting in *Spartan Steel*, saw the central question differently:

Where a defendant who owes a duty of care to the plaintiff breaches that duty and, as both a *direct* and a *reasonably foreseeable* result of that injury, the plaintiff suffers only economic loss, is he entitled to recover damages for that loss? (at 39, emphasis added)

He sought guidance from a similar earlier case: *Cattle v Stockton Waterworks Co* [1875]. In *Cattle*, the defendant's pipes had leaked, causing delay to the construction of the claimant's tunnel, which in turn delayed and caused the claimant a loss of profit on his construction contract. Blackburn J refused to allow the claimant's recovery, but his judgment was interpreted by Edmund Davies LJ as turning on the specific facts of the case and not ruling out recovery for direct and foreseeable economic losses in the future. The facts of *Spartan Steel*, he suggested, were different. It was clearly foreseeable that if the power supply is negligently disrupted, surrounding factories would be *directly* affected and would suffer foreseeable loss. Put simply, it is inevitable that cutting an electricity supply to a factory will cause the owners to lose money. As such, it is not clear to us, as it was not to Edmund Davies LJ, why this foreseeable loss should, as a matter of course, be unrecoverable.

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⌚ This formulation would arguably put enough restriction on the ability to recover economic loss. Not all losses will be foreseeable to a party at the time of the negligent act.⁸ Thus, rather than saying outright that no duty is owed in relation to pure economic loss, issues related to crushing liability could be dealt with by saying that the loss suffered was unforeseeable (as acknowledged by Lord Denning MR at 36). Again, consider the Dartford Tunnel scenario at the start of the chapter. While it is clearly foreseeable that people caught in the traffic jam would suffer delays and even that their cars may then overheat and break down (causing foreseeable economic loss if they have to have the cars towed away and repaired), Guy's particular loss is not foreseeable—it would not be foreseeable that a particular person in the ensuing tailback would fail to make a lucrative business contract.

In *Spartan Steel* Lord Denning MR's public policy considerations seem to have won the day. For him, at the heart of the case lay the failure of the factory owners to insure against loss. However, it is not at all obvious which of the two companies in *Spartan Steel*—the factory or the construction company which, presumably, could be held to foresee the consequences of its (admitted) negligence⁹—was in a better position to insure against such losses.

Pause for reflection

In *Canadian National Railway Co v Norsk Pacific Steamship Co (The Norsk)* [1992], a claim was allowed for 'relational' economic loss when a ship was negligently steered into and damaged a railway bridge owned by a third party. The claimant rail company, which had a contractual licence to use the bridge, lost profits as a result. The claim was allowed on the basis that operations of the claimant and the bridge owner were 'closely allied' (i.e. they both wanted to use the bridge for the same thing (to make profits) and each needed the other to do so).

This case is distinguishable from *Spartan Steel* on the ground that there was no close alliance between the interests of the factory owners and the defendant. Do you agree? Couldn't the same be said of the factory and the electricity company? Moreover, even if this distinction can be sustained—should it make a difference to the outcome of the case?

Another reason for the courts' reluctance to extend a duty of care to pure financial losses is that these are more traditionally and readily dealt with by contract law. Accordingly, if people want to protect their economic interests, they should use contracts to do so.¹⁰ In *Spartan Steel* the factory owners were prevented from being able to claim damages from the electricity company for its failure to supply power by an exclusion clause in the contract. Had they been able to recover in tort, this contractual limitation would have been circumvented and, in so doing, the benefits and extent of the contract would have been called into question—something the court was extremely reluctant to encourage.

Test your understanding by trying this section's self-test questions <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-7-2>>.

p. 191 7.3 Exceptions to the exclusionary rule: *Hedley Byrne v Heller*

Although there is a *general* rule against recovery of pure economic losses, as we have already seen with the exclusionary rules operating in relation to other aspects of the duty of care in negligence, such a rule does not prevent *all* recovery: there are some limited exceptions, which stem primarily from *Hedley Byrne v Heller* [1963]. This is an important case in both contract and tort law. It introduced the tort of 'negligent misstatement' into law and set out guidelines as to when and how it would operate.¹¹

***Hedley Byrne & Co Ltd v Heller and Partners* [1963] UKHL 4 (HL)**

Hedley Byrne, an advertising agency, was asked to buy advertising space for a company called Easipower Ltd. To ensure that Easipower could pay for this service, Hedley Byrne decided to credit check the company. Hedley Byrne's bank twice contacted Easipower's bank, Heller, to ask if the company was creditworthy, and both times was told that it was. The second check asked specifically whether Easipower was 'trustworthy, in the way of business, to the extent of £100,000 per annum'. Relying on Heller's positive responses, Hedley Byrne contracted with Easipower and bought advertising space for them for £17,000. Easipower later collapsed, and Hedley Byrne sought to claim back the £17,000 from Heller on the basis that they had been negligent when preparing the statement about Easipower's creditworthiness.

However, when issuing its statements, Heller had included a disclaimer saying they were prepared ‘without responsibility on the part of this Bank or its officials’; a clause excluding their liability, should it arise. The House of Lords held that, in view of this disclaimer, no liability could arise.

However, the law lords also considered what the position would be had there been no disclaimer. On this, their lordships found (*obiter*) that a duty of care could arise in some situations where advice was given, even where the only harm caused was what would otherwise be regarded as ‘pure’ economic loss. But, they said, this was limited to situations where the following four conditions were met:

- (1) a special (or ‘fiduciary’) relationship of trust and confidence exists between the parties; and
- (2) the party preparing the advice/information has voluntarily assumed the risk (express or implied); and
- (3) there has been reliance on the advice/information by the other party; and
- (4) such reliance was reasonable in the circumstances.

☛ On the facts of *Hedley Byrne*, had there not been a disclaimer attached to the information given, Heller would have owed a duty of care and would have been liable for Hedley Byrne’s losses.¹²

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The *Hedley Byrne* principles continue to form the basis of any duty of care that can be owed in relation to pure economic loss when such loss is based on reliance on a *statement* of some kind.¹³ Put another way, it is only where these principles can be applied that an exception to the general exclusionary rule will be made.

What about economic losses caused by what someone has done—that is, by the ‘activity’ of the defendant? After *Hedley Byrne* and until *Caparo Industries plc v Dickman* [1990], there was a period of significant expansion of liability for pure economic loss. During this period recovery extended beyond losses caused by misstatements (i.e. poor advice) to include ‘activity’-related losses (e.g. loss of value caused when the walls of a house crack due to the negligent construction (an activity) of the foundations). This expansion was curtailed by the House of Lords in *Murphy v Brentwood District Council* [1991], which closed the door on claims for pure economic loss relating to defective products or buildings.

We can now generalise about when and on what basis recovery will be possible for pure economic loss: there is a difference between statement-based losses and activity-based losses. Recovery is allowed for the first, subject to the *Hedley Byrne* criteria, but not the second. Put another way, the criteria *only* apply where the claimant’s pure economic loss has been caused by what the defendant has *said* (rather than what they have done), and only then within the context of a fiduciary relationship, an assumption of responsibility and reliance. However, as we shall see, the distinction between what is ‘said’ and what is ‘done’—between statements and activities—is not always an easy one to draw and is an even harder one to maintain.

Pause for reflection

Does it make sense to draw a distinction about *how* an economic loss was caused? Why prioritise economic losses that are caused by what someone else *said*, but not what they *did*?

Test your understanding by trying this section's self-test questions <https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-7-3>.

7.4 Claims for pure economic loss in negligence before *Murphy*

Broadly speaking, until *Murphy* there were three 'phases' of judicial development of the duty of care for pure economic loss, which can be roughly summarised, as in Table 7.1.

Table 7.1 Claims for pure economic loss before *Murphy*

Phase 1	Pre-1963 (<i>Hedley Byrne</i>)	No recovery of pure economic loss in negligence ¹⁴
Phase 2	<i>Hedley Byrne–Junior Books v Veitchi</i> 1963–83	Period of expansion of the type of situation for which pure economic loss was recoverable, following expansion of duty in negligence more generally and of the <i>Hedley Byrne</i> principles
Phase 3	Post- <i>Junior Books</i> 1983–90	Closing down of the exceptions: a retreat from a more generous position regarding pure economic loss, culminating in <i>Caparo</i> and <i>Murphy</i>

p. 193 ↩ Indirectly, *Hedley Byrne* opened the door to recovery for other types of pure economic loss claim (i.e. those not based on statements).¹⁵ This coincided with a more general relaxation of the duty of care concept in the tort of negligence as a whole.¹⁶ In particular, the courts began to allow claims for what could be described as economic losses based on defective products (which for these purposes included buildings, each being based on the activity of production). In *Dutton v Bognor Regis Building Co Ltd* [1972], for example, the purchaser of a house successfully sued a local authority for carelessly approving the foundations, which turned out to be insecure, rendering his house physically defective with badly cracked walls.¹⁷ Pre-*Hedley Byrne*, entering the contract to buy the house would have been seen merely as a 'bad bargain' (the house was simply worth less than was paid for it) and the purchaser would have had no remedy for the economic loss suffered as a result: the cost of repairing the walls. Post-*Hedley Byrne*, in a changed climate, it may have been in the court's mind that the local authority had assumed the risk of its building approvals (which were made

pursuant to statutory powers) and that the buyer had been entitled to rely on this. Whatever the reason, *Dutton* called into question whether any distinction could continue to be drawn between defects in property and pure economic losses.

***Anns v Merton London Borough Council* [1978] AC 728 (HL)**

The claimant alleged that the local authority had negligently failed to supervise the construction of a building, with the result that cracks appeared in the walls, caused by sinking foundations.

In the House of Lords, Lord Wilberforce classified this as ‘material physical damage’ (as opposed to pure economic loss) meaning that damages for the cost of repairs were recoverable.

Following *Anns*, the distinction between material physical damage and pure economic loss seemed to have been lost entirely. This became even more apparent in *Junior Books Ltd v Veitchi Co Ltd* [1983].

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***Junior Books Ltd v Veitchi Co Ltd* [1983] 1 AC 520 (HL)**

A claim was made by the owners of land in relation to a factory under construction. The building company contracted to build the factory was instructed by the claimant to subcontract the defendant, a specialist flooring company, to lay a floor designed to support heavy machinery. The floor was laid negligently and had to be rebuilt. While this was done the factory had to be closed and the claimants lost profits. As the landowners had no contract with the subcontractors (they only had one with the building company), they sued them in negligence.

The House of Lords allowed the claim in negligence for the pure economic loss (cost of relaying the floor and lost profits),¹⁸ categorising the claim as one where the supply of a defective product (the floor) caused economic loss. They found, drawing on *Hedley Byrne*, that Veitchi, which had special skill, had ‘assumed responsibility’ for the condition of the floor and the claimants had relied upon this.¹⁹

Not only did confusion ensue from these decisions but, by the late 1980s, the social and economic climate had changed and, in simplistic terms, the courts were looking for a way to ‘rein in’ the situations in which a duty of care could be owed—in all contentious areas, not only in relation to pure economic loss.²⁰

The first indication of this change of approach came in *D & F Estates Ltd v Church Commissioners for England and others* [1989]. The claimants sought damages for the cost of repairing defective plastering on the walls of a flat they had purchased 15 years previously, which was part of a building owned by the defendants. The plastering had been done negligently by a plasterer subcontracted by the co-defendant building firm. At first instance, following *Dutton* and *Anns*, the claimants won. Reversing the decision, the Court of Appeal held that

the builders owed a duty only to employ competent subcontractors and on the facts this duty had not been breached. The House of Lords agreed, also finding that, in any case, the cost of repairing the defective plaster was not a recoverable loss in negligence. It was distinguishable from defective foundations in that it was simply a defect in the product (the flat) itself and could cause no further direct harm. The first seeds of doubt about the correctness of *Anns* were sown,²¹ paving the way for the decision in *Murphy*.

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***Murphy v Brentwood District Council* [1991] 1 AC 398 (HL)**

Mr Murphy purchased a semi-detached house in Brentwood, which had been built by a company called ABC Homes. Over ten years later, serious cracks started appearing in the walls. These were found to be caused by a defect in the foundations, the design of which had been approved by the district council. The defect made the house structurally unsound and worth £35,000 less than Mr Murphy had paid. At first instance the judge found that the council had owed and breached a duty of care in relation to its buildings approvals.

The House of Lords decided otherwise, also taking the opportunity to reflect on the correctness of *Anns*. They held that the damage in *Anns* (and therefore in *Murphy*) should properly be considered pure economic loss and *not* a form of material physical damage. They found that faulty foundations cause no loss or damage, other than a financial loss, unless they are dangerous or cause further physical damage to the ‘fabric of the house’ by subsidence or collapsing walls—it is merely the cost of repairing the foundations that is at issue. This, in their view, was pure economic loss for which no duty should be owed. Thus, in *Murphy* the House of Lords overturned *Anns* on this point.²²

Counterpoint

Much of the reasoning in *Murphy* focused on whether a house could be considered a ‘complex structure’. Complex structures are those where each part of a whole can be treated as individual pieces of property. This means that if one part is defective (which would be classified as pure economic loss) but *causes damage to another part* (damage to property), the cost of rectification will be recoverable. This is particularly helpful in the context of product liability. If a faulty component causes damage to another component or to the product itself, recovery is possible for the damaged component/product but not for the cost of replacing the original faulty component (see **Chapter 12**).

The application of the ‘complex structure’ theory was rejected in *Murphy*.²³

to apply the complex structure theory to a house so that each part of the entire structure is treated as a separate piece of property is unrealistic. A builder who builds a house from foundations upwards is creating a single integrated unit of which the individual components are interdependent. To treat the foundations as a piece of property separate from the walls or the floors is a wholly artificial exercise. If the foundations are inadequate the whole house is affected. (Lord Jauncey at 497)

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↩ Mark Lunney, Donal Nolan and Ken Oliphant suggest that this argument poses difficulties when translated to other products. They ask whether:

purchaser[s] of a bottle of wine whose contents were ruined by a defective cork suffer property damage (because one item of property, the cork, had damaged another, the wine) or pure economic loss (because one single composite item of property, the bottle of wine, had damaged itself)?²⁴

Realistically, of course, even if it was the wine manufacturer who was negligent, one could take a bottle of wine back to the retailer, who would be obliged, having sold a product not of 'satisfactory quality', to provide either a refund or a replacement. This is not true of houses. It may be that, given the extent of the potential loss, houses *should* be viewed as complex structures. Perhaps the real problem here is that many of the claims we have seen in relation to houses and other properties were against public authorities—meaning that courts would be less likely to want to find liability.²⁵

The period from *Hedley Byrne* to *Murphy* was clearly a turbulent time in relation to pure economic loss, with several important House of Lords decisions relating to the scope and content of the duty of care. This reached a 'high point' with *Anns* and *Junior Books*, which was later retreated from in *D & F Estates* and *Murphy*.

Test your understanding by trying this section's self-test questions <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-7-4>>.

7.5 Extending *Hedley Byrne*

Post-*Murphy*, the only way to claim in negligence for pure economic loss is to rely on the four principles established in *Hedley Byrne*.²⁶ However, these principles have themselves been applied in ways which seem to be *extensions* of the way they were first formulated. This is particularly notable given the policy reasons elucidated for not recognising claims for pure economic loss in the first place, and the 'closing down' of liability for economic loss described in the previous section. We turn next to where these principles have (and have not) been applied.

7.5.1 A special relationship

In *Hedley Byrne* Lord Reid envisaged that a special (or fiduciary) relationship—a relationship of trust and confidence—would arise where it was clear that:

the party seeking information or advice was trusting the other to exercise such a degree of care as the circumstances required, where it was reasonable for him to do that, and where the other gave the information or advice when he knew that the inquirer was relying on him. (at 486)

p. 197 ↵ From this definition it is apparent that the four *Hedley Byrne* principles in fact overlap, as the reliance and assumption of risk elements are clearly both *part* of what makes a special relationship in the first place. The question of whether it ‘was reasonable for him to do that’ seems to mean that this type of relationship ought only to arise in a business/commercial context.²⁷ Therefore, if we were to advise you here to invest your money in a certain company’s shares, no such special relationship could arise in which we would owe you a duty of care in respect of pure economic loss suffered by you, even in reliance on our advice.

An example of the type of special relationship required to be able to sue for economic loss can be seen in *Esso Petroleum Co Ltd v Mardon* [1976].

Pause for reflection

The limitation of the ‘special relationship’ to business contexts seems appropriate given the closeness of economic loss claims in negligence to contractual claims. Where people are seeking to promote their business interests (and it is someone’s job to assist in this, when asked) is there any good reason why that person should not be liable for any negligent advice they give, when they are being asked to give it for that very reason?

Why, in *Hedley Byrne*, did the claimants not sue for breach of contract?

Check our **pointers** <<https://iws.oup.support.com/ebook/access/content/horsey9e-student-resources/horsey9e-chapter-7-pointers-to-pause-for-reflection-and-counterpoint-boxes?options=showName>> on how to answer the questions posed in this ‘pause for reflection’.

***Esso Petroleum Co Ltd v Mardon* [1976] QB 801 (CA)**

An employee of Esso, whose job it was to assess the potential output of petrol stations, advised Mr Mardon, who was thinking of leasing a petrol station, that the station in question would sell at least 200,000 gallons of petrol per year. Mr Mardon entered the lease in reliance on this advice, but sold only 78,000 gallons in the first 15 months of trading. The advice of the Esso employee (for whom Esso would be vicariously liable) was found to be negligent. The question was whether a duty of care could be owed to Mr Mardon in respect of the loss he had suffered, which was purely economic.

The Court of Appeal held that the required special relationship had been created because, in making the statement, Esso's employee had assumed a responsibility to Mr Mardon based on his expertise in assessing the market for petrol sales, and Mr Mardon had reasonably relied on this. Therefore, a duty of care was owed.

The principle has also been extended to cover an auctioneer's advice to potential bidders (*Thomson v Christie Manson & Woods Ltd* [2005]) and an environmental health officer's assessment of premises (*Welton v North Cornwall District Council* [1997]).

p. 198 **7.5.2 Voluntary assumption of risk**

It is a reasonable extension of the special relationship idea that where such a relationship exists, any party giving advice, without a disclaimer, can be said to have assumed the risk that the statement they make is reliable. If they did not want to assume the risk, they could, as in *Hedley Byrne*, attempt to exclude their liability.²⁸

In *Goodwill v British Pregnancy Advisory Service* [1996], the defendants negligently advised the claimant's partner that his vasectomy had been successful. The claimant relied on this information and stopped using other methods of contraception, subsequently falling pregnant and giving birth to a child. The claim was for the costs associated with bringing up the child. While agreeing that the relationship in which the advice was given could be regarded as one of 'trust and confidence', the Court of Appeal was unwilling to find that the risks of making the statement negligently had been assumed (and particularly not to the man's partner, who only entered a relationship with him after he had already had the vasectomy). Because of this, the court found, the claimant was not entitled to have relied on the advice given and no duty of care was owed.

Counterpoint

In a range of different circumstances, the courts have more generally found against claimants who claim damages for the costs associated with bringing up an unwanted child (both in negligence and in relation to defective contraceptive products).²⁹ In the tort of negligence, one way this has been achieved is by constructing the parents' claim as pure economic loss.

Do you think that such costs—such as feeding and clothing the child—are *purely* economic? Could the cost of raising a child which was born because of someone else's negligent advice or action be classified as *consequential* economic loss? Consider *McFarlane v Tayside Health Board* [1999], which had similar facts to *Goodwill* except that the claimants were a married couple who already had four children and were trying to avoid having another precisely *because* they could not afford the costs of bringing up a fifth child. The McFarlanes were also denied recovery. Alongside categorising their loss as purely economic, the parents' harm (having a healthy—albeit unwanted—child) was said to be unrecognised in law:

The law must take the birth of a normal, healthy baby to be a blessing, not a detriment ... It would be repugnant to [society's] own sense of value to do otherwise. It would be morally offensive to regard a normal, healthy baby as more trouble and expense than it is worth. (Lord Millett at 1347)

The decision in *McFarlane* has been subjected to significant academic and judicial criticism.³⁰ It should now be read in light of the later House of Lords' decisions in *Parkinson v St James & Seacroft University Hospital NHS Trust* [2001] (in which damages were awarded for the *additional* costs of bringing up an unwanted child who was disabled) and *Rees v Darlington Memorial Hospital NHS Trust* [2003]. In *Rees*, while not allowing recovery of the costs of raising an unplanned yet healthy child (born to a disabled mother), the law lords (by a slim 4:3 majority) controversially reconceptualised the harm suffered by the mother as damage to her autonomy for which there should be a 'conventional award', despite this idea having been raised and rejected in *McFarlane*. The award was set at £15,000.

Watch our video 'What's so wrong about wrongful birth cases?' considering the differences between 'wrongful birth', 'wrongful life' and 'wrongful conception' and the different responses to them in tort law.

Video playback is not supported in this format.

Video 7: What's so wrong about wrongful birth cases?

The modern test for determining assumption of responsibility was outlined by the House of Lords in *Henderson v Merrett Syndicates Ltd* [1995], a case involving significant claims by investors (known as ‘Names’) who, in syndicates, had underwritten insurance policies for Lloyds. They suffered substantial losses when numerous insurance claims were made against Lloyds in the early 1990s and alleged that the agents who had set out the syndication of the Names had been negligent in doing so. Their lordships found that the agents had assumed responsibility for the financial affairs of the Names, despite there being no statement or advice that this was based on.³¹

[T]here is no problem in cases of this kind about liability for pure economic loss; for if a person assumes responsibility to another in the respect of certain services, there is no reason why he should not be liable in damages in respect of economic loss which flows from the negligent performance of those services. (Lord Goff at 238)

An interesting example of the principle in action is found in *Lennon v Commissioner of Police of the Metropolis* [2004]. In this case, a police officer was negligently advised by a personnel officer about the impact on the terms of his employment contract of transferring from one police force to another, resulting in him permanently losing his housing entitlement. The Court of Appeal found that it was well established that liability for pure economic loss could arise where there was a voluntary assumption of responsibility on which the claimant had relied. In this case, the personnel officer had expressly assumed responsibility for the claimant’s transfer and for giving advice in relation to the housing allowance and had led him to believe that he could rely on her to handle the arrangements; a duty therefore arose in respect of the economic loss suffered.³²

The assumption of responsibility principle was revisited by the House of Lords in *Customs & Excise Commissioners v Barclays Bank* [2006].

***Customs & Excise Commissioners v Barclays Bank* [2006] UKHL 28 (HL)**

Customs officers obtained ‘freezing orders’ on the bank accounts of two companies which were in debt with regards their tax payments. This meant that the bank (Barclays) was legally obliged not to let any payments leave the companies’ bank accounts. However, Barclays negligently allowed some withdrawals to be made. Customs & Excise sought to recover this money by suing Barclays in negligence, alleging that once a freezing order had been received, a bank assumed responsibility for the loss that would be suffered if money was allowed to leave the frozen accounts.

The House of Lords ruled that there had been *no* assumption of responsibility in the required sense, because it could not truly be said that the responsibility assumed was *voluntary* where the bank was obliged by law to accept the freezing order, therefore the claim failed.

p. 200

In *Barclays Bank*, the reasoning of the law lords suggested that the ‘assumption of responsibility’ concept is an imprecise tool with which to determine liability for pure economic loss.³³ Rather than being a blunt concept that is either present or not in any given case, it will need to be interpreted flexibly and in accordance with the precise facts and policy considerations in each case.³⁴ ‘although it may be decisive in many situations, the presence or absence of a voluntary assumption of responsibility does not necessarily provide the answer in all cases’ (Lord Rodger at [20]).

Thus it seemed that the concept, though retained by the House of Lords, would be able to be more loosely relied upon in the future, or sidestepped where policy considerations are deemed to override it.³⁵ In *Sebry v Companies House* [2015], a slightly novel twist arose. Here, an employee at Companies House erroneously altered the status of a company to show that it had gone into liquidation. As a result, many of its creditors withdrew, and it ended up in administration, suffering a loss of £9 million. Edis J found that Companies House had assumed responsibility towards—and therefore owed a duty to—the company (to maintain accurate records), though this duty did not extend to anyone else, for example creditors or potential investors.

p. 201 Similarly, in *Banca Nazionale del Lavoro SPA v Playboy Club London Ltd* [2018], Playboy asked a company, Burlington, to obtain a credit reference from the bank of a man gambling at the club who required more funds. Burlington asked the bank about the man’s finances, without mention of Playboy. The bank confirmed that the man held an account there and was trustworthy for up to £1.6 million per week. Relying on the bank’s reference, Playboy granted the man a cheque-cashing facility of £1.25 million. After accumulating net winnings of £427,400 the man returned home to Lebanon. His (fraudulent) cheques were returned unpaid; it transpired that the bank had opened his account two days after providing the reference. The account was closed shortly afterwards, having never held any funds. The Supreme Court found that Playboy had not been entitled to rely on the reference; the duty of care owed by the bank was only owed to the addressee (Burlington) and there was no assumption of responsibility to Playboy, of whom it was unaware.³⁶

The importance of an assumption of responsibility should not therefore be understated. In *Steel and another v NRAM Ltd (formerly NRAM plc) (Scotland)* [2018], a solicitor negligently prepared a statement in respect of the sale of a commercial property, which was sent by email to the opposite party, who later suffered substantial financial loss. One issue was whether she had assumed responsibility for the truth of her statement. Lord Wilson cited with approval the finding of Lord Steyn in *Williams v Natural Life Health Foods Ltd* [1998] that ‘there [is] no better rationalisation for liability in tort for negligent misrepresentation than the concept of an assumption of responsibility’ (at 837), adding that ‘[i]t has therefore become clear that, although it may require cautious incremental development in order to fit cases to which it does not readily apply, this concept remains the foundation of the liability’ (at [24]). The Supreme Court found that it was not generally the case that a solicitor would assume such a responsibility towards the other side, ‘unless it was reasonable for the latter to have relied on what the solicitor said and unless the solicitor should reasonably have foreseen that he would do so’ (at [32]).

The importance of the assumption of responsibility concept—and the fact that it may be developed in incremental steps dependent on the facts of individual cases—was recently restated by the Court of Appeal in *Spire Property Development LLP v Withers LLP* [2022]. In that case, a solicitor provided advice going beyond the scope of the retainer they were contracted for. The question arose as to whether any responsibility had been

assumed. If it had been, the court must consider the ‘extent of any such assumption ... objectively in context and without the benefit of hindsight’ and the ‘primary focus’ must be on what was said in the exchanges (by email in this case) between the solicitor and client.³⁷ An assumption of responsibility was rejected in *Spire Properties*, but it illustrates well that the inquiry in each case will be fact-dependent.

Recently, the Privy Council (in the context of banking fraud) confirmed that the test for assumption of responsibility is an objective one.³⁸ In this case the claimant asked the court to find a duty of care based on the principles of *White v Jones* (discussed later in section 7.6), arguing there was a gap in the law. The Privy Council found there to be no such gap and restated that unless there is an assumption of responsibility on the facts, no duty in respect of the loss can arise. In this case, nothing indicated an assumed responsibility from the bank to protect the claimant from the activities of the fraudsters.

p. 202 7.5.3 Reasonable reliance

Whether the claimant can be said to have relied on a statement or advice is also important in providing an exception to the general exclusionary rule. As already indicated, the reliance concept overlaps with the other *Hedley Byrne* principles. For example, it is often precisely *because* a ‘special relationship’ exists that one party will rely on the other’s advice, particularly when this is given in a professional context (as in *Esso v Mardon*).

The nature of the reliance, coupled with the fourth principle from *Hedley Byrne*—that the reliance must be reasonable in the circumstances—is important. In *Caparo* (a case perhaps better known for its supposed statements on whether a duty of care exists at all in novel cases),³⁹ for example, it was held that the reliance was not reasonable, given the context in which the statement had been made.

***Caparo Industries plc v Dickman* [1990] 2 AC 605 (HL)**

Caparo was considering a takeover bid of another company, Fidelity. In pursuance of this, Caparo looked at information prepared by Fidelity’s auditors, which it received because it already held a number of shares in Fidelity. This information showed that Fidelity was doing well and, in reliance on this audit, Caparo launched its takeover bid only to find later that Fidelity was almost completely worthless. Caparo sued, alleging negligence in the preparation of the audit.

The House of Lords found that no duty of care was owed in respect of the economic loss caused by Caparo’s reliance on the information provided. This was because it was not reasonable for Caparo to have relied on this information when preparing its takeover bid of Fidelity. Company audits were an annual requirement for businesses under the Companies Act 1985, and the information within them was provided for shareholders; not for potential investors, as this would include a class of persons of an indeterminate size.⁴⁰ Thus, in Caparo’s capacity as a shareholder of Fidelity, the information could be relied upon, but in its capacity as a potential investor, it could not be.

In *Caparo*, because the reliance on the information was not *reasonable*, no special relationship could arise between the two companies. Lord Bridge clarified this position further, saying that there would be a difference where:

the defendant giving advice or information was fully aware of the nature of the transaction which the plaintiff had in contemplation, knew that the advice or information would be communicated to him directly or indirectly and knew that it was very likely that the plaintiff would rely on that advice or information in deciding whether or not to engage in the transaction in contemplation. (at 620–1)

p. 203 He explained that because audit information under the Companies Act 1985 is put into ‘more or less general circulation’, it could foreseeably be relied on by anyone for any purpose and — those preparing the audit should not owe a duty to anyone and everyone who relied on it. Put another way, the provision of information for one particular purpose should not (or cannot) *reasonably* be relied on for another purpose, not least because there is no assumption of responsibility in respect of any alternative purpose for which the information is used. A similar idea was used to deny the existence of a duty of care to a fisherman in *Reeman v Department of Transport* [1997], when the certificate of seaworthiness that had been issued for his boat turned out to have been negligently written. The boat in fact was almost worthless. The Court of Appeal, following *Caparo*, held that such certificates were issued to enhance maritime safety, not to establish the commercial value of boats, so should not have been relied on in this way.⁴¹

In *Steel and another v NRAM Ltd (formerly NRAM plc) (Scotland)* [2018], the claim ultimately failed because it was not reasonable for the defendant to have relied on the solicitor’s statement. In a situation where a statement is provided by a solicitor for the other party, and could be easily checked, ‘it is not reasonable for the representee to rely on the representation without checking its accuracy and ... it is, by contrast, reasonable for the representor not to foresee that he would do so’ (at [38]).

Pause for reflection

Do you think the distinction drawn in *Caparo* is valid? If, as an existing shareholder in Fidelity, Caparo would have been entitled to rely on the information provided in relation to the investment they already had, why should they not also be able to rely on it in relation to any further investment they might be considering making? If the idea was to curtail the situations in which a duty of care might arise—and this certainly was one of the aims of the House of Lords, given the climate of the time—then to say that the duty would arise only in the context of existing shareholders—but not *prospective* shareholders—would still have this effect, with the exception that Caparo itself would have been owed a duty of care.

In contrast to *Caparo*, in *Law Society v KPMG Peat Marwick* [2000], the claimants sued when the defendants—accountants for a firm of solicitors—failed to discover that a senior partner was embezzling money and defrauding many of the firm’s clients. When the fraud was discovered, more than 300 of the firm’s clients

claimed compensation from the Law Society, via a no-fault compensation fund established for this purpose. Trying to recover its economic loss, the Law Society sued the accountants, saying they had been negligent in preparing the firm's annual accounts. Relying on *Caparo*, the accountants contended that their duty was only to the solicitors' firm and not to anyone else who relied on the accounts prepared for them for any other purpose. However, the Law Society argued that the duty extended as far as them, as law firms are obliged to have their accounts prepared annually for the benefit of the Law Society, and it was known by the accountants involved that the society would rely on the information provided. The Court of Appeal agreed, holding that because the accountants knew the purpose for which such accounts were prepared, and because it was foreseeable that failure to correctly prepare accounts would lead to claims being made against the fund, it was appropriate to impose a duty.

p. 204 ↵ A decision was reached on similar grounds in *Smith v Eric S Bush* [1990].

***Smith v Eric S Bush* [1990] AC 831 (HL)**

The claimant purchased a house, relying on a survey of the property prepared by the defendants. The survey had been carried out negligently and the house was in fact worth much less than was paid for it. The survey, as is normal practice, had been commissioned by the building society with which the claimants had taken out their mortgage—the principal purpose of such a survey is to satisfy the building society that the value of the house being purchased is at least that of the amount of money being lent.

The House of Lords held that although a contract exists only between the mortgage lender and surveyor, surveyors owe a duty of care to the buyer, as they would be aware that the buyer would rely on the information provided by them, and it would be reasonable for buyers to do so.

Part of the reasoning in *Smith* is that it is commonly understood that surveys provided for mortgage lenders are often also relied on by homebuyers. While it is possible for buyers to commission their own detailed structural survey, this is more expensive, so many simply rely on the survey carried out by the mortgage lender, especially as it is the buyer who has to pay for this survey to be conducted. In *Smith*, this fact was particularly important—the court recognised that Mrs Smith was making one of the most important purchases of her life and, as she was not wealthy, was fully entitled to rely on the valuation provided for the mortgage lender.⁴² In *Smith*, the surveyors had used a disclaimer which, as in *Hedley Byrne*, would ordinarily prevent a duty of care from arising. However, the disclaimer used in *Smith* was rendered ineffective by the Unfair Contract Terms Act 1977.⁴³ In contrast, in *Scullion v Bank of Scotland plc (trading as Colleys)* [2011], the Court of Appeal considered whether a duty of care was owed by a valuer to the purchaser of buy-to-let property, rather than to a homebuyer. Lord Neuberger MR distinguished *Smith* on exactly that basis: that in *Scullion* the property was an investment.

Counterpoint

It is interesting to consider how the notion of *assumption of responsibility* works in *Smith*. It does not seem to us that it can be said that the surveyors assumed responsibility for the accuracy of the information they were providing to *Mrs Smith*. Furthermore, the disclaimer that was included, though falling foul of contract legislation, surely at least points to the fact that no responsibility had *actually* been assumed (as in *Hedley Byrne*).⁴⁴

Test your understanding by trying this section's self-test questions <https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-7-5>.

p. 205 7.6 Beyond *Hedley Byrne*: The 'will cases' and a more flexible approach

Despite the idea behind *Caparo* and subsequent cases being to limit the situations in which a duty of care arises in relation to pure economic loss, some later decisions appeared to have expanded this area of liability once again, into areas which could be defined as relating to the provision of services rather than the making of a statement or the giving of advice. This expansion started with what have become colloquially known as the 'will cases' but, as we shall see, the principle has been further extended to other services.

The first of the so-called will cases was *Ross v Caunters* [1980]. A solicitor negligently drew up a will for his client, so much so that the will ran contrary to the law on probate and the intended beneficiary (the claimant) was unable to inherit. The claimant's loss, however, was purely economic—in fact it may be better described as a failure to make an anticipated gain, more commonly encountered in contract law.⁴⁵ Furthermore, rather than this being a case where 'advice' was given in the form of a *statement*, this was a negligent *action* or *service*. Notwithstanding this difference, the claimant was able to recover the sum she had lost (or not gained) from the negligent solicitor.

Ross v Caunters was not considered particularly significant at the time. In 1980, as indicated earlier, negligence liability was in a period of expansion, with the courts willing to find duties of care in new situations following the formula laid out in *Anns*. *Ross* becomes more significant because it was later followed in cases that came *after* this period of expansion was closed down (following *Murphy* and *Caparo*), when any successful claim for pure economic loss had to, in theory, be based on the four *Hedley Byrne* principles (and so therefore relate to statements, advice or similar). The first case to do this was *White v Jones* [1995].

***White v Jones* [1995] 2 AC 207 (HL)**

Two sisters were cut out of their father's will following an argument. Later, the relationship between the sisters and their father improved and the father instructed his solicitor to redraft the will, including an inheritance of £9,000 for each daughter. When, after a month, he discovered that this had not yet been done, he reissued his instruction. After his death, it was found that the will had not been changed and the daughters sued the solicitor.

The House of Lords found in the claimants' favour, awarding them the economic loss they had suffered because of the solicitor's negligence.

p. 206 Considering that the principles from *Hedley Byrne* supposedly formed the only basis for recovery of economic losses at the time *White* was decided, it is difficult to see how this case fits. In *White*, a service was provided and the loss caused to the claimants came as a result of negligent provision of that service rather than as a statement made in the context of a special relationship where the risk of its accuracy was assumed and relied upon. Moreover, though solicitors in the provision of will-drafting services clearly have a special relationship (of trust and confidence) with *their clients*, it would seem to raise the risk of a conflict of interest if this relationship also extended to the intended beneficiaries of wills. The decision truly marks a more flexible approach to the *Hedley Byrne* principles.⁴⁶ Similar claims have, however, been denied where it appears that the interests of the testator and beneficiaries differ (i.e. where there is an *actual* conflict of interest). It is only where these interests are identical that the *White* exception comes into play (see e.g. *Clarke v Bruce Lance & Co* [1988]).

Pause for reflection

Do you think the House of Lords was swayed by the need to do 'justice' in *White*? Failures in the context of service provision are certainly more familiar territory in contract law. The problem was that the only party in the contract with the solicitor (the father, or more accurately his estate) had suffered no loss as a result of the breach of contract/negligence. The claimants, who *had* suffered loss, were not parties to the contract. Outside a contractual relationship, to be able to sue in negligence the defendant must owe the claimant a duty of care and the 'rules' on pure economic loss in negligence at this time would not have allowed such a duty to arise. The House of Lords in *White*, by extending the *Hedley Byrne* principles, created such a duty. Do you think they did the right thing?

The situation is analogous to *Hedley Byrne* itself. Why shouldn't a solicitor be liable for negligently failing to do what they ought to have done (e.g. by not acting on an instruction)? Furthermore, arguably the solicitor's firm is more likely to be able to absorb the losses than those affected by the negligence, who might be people of 'modest means'. Lord Goff referred to this when speaking of the unfairness that he felt would come from not providing the claimants a remedy:

The injustice of denying such a remedy is reinforced if one considers the importance of legacies in a society which recognises ... the right of citizens to leave their assets to whom they please, and in which, as a result, legacies can be of great importance to individual citizens, providing very often the only opportunity for a citizen to acquire a significant capital sum; or to inherit a house, so providing a secure roof over the heads of himself and his family; or to make special provision for his or her old age. (at 260)

In other cases, courts have been keen to stress the importance of insurance. Here, a solicitors' firm could clearly insure against losses of this nature, whereas those who benefit from a will would not be able to do so, often because they will not know that they were supposed to benefit until it is too late.

p. 207

Counterpoint

In *White*, the law lords seemed to have decided the outcome they wanted to achieve before delivering their judgment. To do so, and to address what Lord Goff referred to as a 'lacuna in the law which needs to be filled' (at 260), they extended the *Hedley Byrne* principles. Unfortunately, the result is not a perfect fit. The hardest to reconcile are the principles of 'assumption of risk' and 'reliance': it can clearly be said that solicitors preparing wills assume responsibility to their clients (to do the job properly), but not to the intended beneficiaries (some of whom might not even know they were due to inherit and so cannot be said to rely on the fiduciary nature of the relationship). Acknowledging this, Lord Goff stated:

[T]here is great difficulty in holding, on ordinary principles, that the solicitor has assumed any responsibility towards an intended beneficiary under a will which he has undertaken to prepare on behalf of his client but which, through his negligence, has failed to take effect in accordance with his client's instructions. The relevant work is plainly performed by the solicitor for his client; but, in the absence of special circumstances, it cannot be said to have been undertaken for the intended beneficiary. Certainly, again in the absence of special circumstances, there will have been no reliance by the intended beneficiary on the exercise by the solicitor of due care and skill; indeed, the intended beneficiary may not even have been aware that the solicitor was engaged on such a task, or that his position might be affected. (at 262)

Lord Browne-Wilkinson circumvented this problem by stating that when a solicitor takes on the drafting of a will, they accept responsibility (and therefore all the risks attached) for doing this properly. The *scope* of the responsibility was for the law to decide and that was what the House of Lords had done in extending the duty to the intended beneficiaries, according to the principle that:

the law will develop novel categories of negligence 'incrementally and by analogy with established categories.' In my judgment, this is a case where such development should take place since there is a close analogy with existing categories of special relationship giving rise to a duty of care to prevent economic loss. (at 275)

Seen in this sense, *White* is not an extension of principle but remains firmly based on the principles established in *Hedley Byrne*. Lord Goff, on the other hand, held that responsibility was factually assumed only to the father but that the law should extend this duty implicitly to the claimants (at 268). Either way, as we have indicated, this seems to be the result of a desire to do practical justice for the claimants, who would otherwise have no means of recovery. It also prevents solicitors 'getting away with negligence', in the sense that they can now be sued by those parties who actually suffer the loss as a result.

p. 208 The principle from *White* was further extended in *Carr-Glynn v Frearsons* [1999]. In this case, a woman instructed her solicitors to prepare a will in which the claimant was bequeathed a share in some property. The solicitors advised the woman that her will might be ineffective, as the way the property was owned meant that her share of it might ↵ automatically pass to the co-owners when she died. However, they also advised her how to avoid this situation, but she died before this could be done. As a result, the claimant lost out on the property share that was meant to pass under the will and, in contrast to *Ross* and *White*, the woman's estate *also* suffered a loss, as the property share was lost. The Court of Appeal held that although the estate had suffered a loss and a claim would therefore be able to be made in this respect, if this happened, the estate would receive the damages. This would *then* amount to a situation like that in *White*—where the

intended beneficiary lost out and had no way of seeking a remedy, but in the long term the estate would suffer no loss. On that basis, a duty was found to be owed to the claimant by the solicitor, who should have done what was necessary to make sure the will would operate as required.

Pause for reflection

While it might seem like a logical extension to find a duty of care to the beneficiary even where the estate could already claim compensation (as this seems merely an intermediate point in the fact of assessing that the estate would end up suffering no loss, but those who were intended to benefit from a will would do so), do you think the solicitor was negligent in this case? By framing the duty as ‘a duty to make sure the will would work as the testator intended it to’, there would clearly be a breach, as this is not what eventually occurred. But given that the solicitor correctly advised the woman what she needed to do, is it simply *bad luck* on the claimant’s part that she died before it could be done?

In *Esterhuizen v Allied Dunbar Assurance plc* [1998], the principle of the will-drafting cases was extended beyond solicitors to other companies offering will-making services. This seems a natural extension of the principle guided by market expansion. It would seem odd that one could sue a solicitor for negligently drafting a will that you expected to benefit under, but not a commercial company that does essentially the same job. Similarly, in *Gorham v British Telecommunications plc* [2000], the Court of Appeal held that the widow of a man who had been advised to switch pension schemes could sue for the economic loss she suffered when the benefits of the pension could not be transferred to her on the death of her husband. He had opted out of his employer’s pension scheme on the negligent advice of an insurance company. Had he not done so, insurance benefits would have been paid to his family upon his death. Instead, these were lost when he transferred the pension to the new provider. In awarding his widow damages for the economic loss suffered, the Court of Appeal drew analogies with wills, finding that the pension advisor had assumed the risk of his advice, which would be relied on, to the family as well as his client.

Beyond wills, the *Hedley Byrne* principles were extended in *Spring v Guardian Assurance* [1995] to cover the writing of references (perhaps more obviously a statement—albeit of a different type). In this case, Lord Goff clearly outlined the House of Lords’ position on pure economic loss, finding that recovery should not be confined to cases based on statements or advice but could include the provision of a service, where there had been the appropriate assumption of responsibility and reliance (at 318).

***Spring v Guardian Assurance* [1995] 2 AC 296 (HL)**

Spring had worked for the defendant company but had been made redundant. He sought a reference when he was trying to find new employment with a different company. The reference provided stated that he was dishonest and incompetent and, as a result, Spring was not employed. He sued the defendants in negligence for the economic losses caused to him by not getting the new job.

At trial it was found that although the employer genuinely believed in the truth of the reference it had prepared, it had reached these conclusions wrongly and was therefore negligent. A duty of care to take care in providing accurate references was owed. The House of Lords agreed that this duty had been owed and that it had been breached.

Notably, unlike in *Hedley Byrne* and *White*, the claimant was not the person the statement (in the reference) was made to or prepared for—he was the person the statement was *about*.⁴⁷ This seems to indicate that the *Hedley Byrne* principles can operate in a slightly different direction. The other components of ‘assumption of responsibility’ and ‘reasonable reliance’ are apparent in this type of situation; only the relationship is different. Arguably, however, a comparable relationship of trust and confidence exists when a past employer is asked to provide a reference.

Counterpoint

It was argued in *Spring* that the claim was essentially one about damage to the claimant’s reputation and would therefore be better suited to defamation.⁴⁸ The defendants argued that to allow a claim in negligence (as well as or instead of a claim in defamation) would undermine the rules and limits of the law on defamation. However, it seems to us that where there is negligence that causes harm—as occurred in *Spring*—there should be no reason that a claim should not be viable as long as there is no potential for double recovery. That is, if a successful claim for damages is made in one area, then a separate claim in the other should be precluded. It seems that in this case the House of Lords merely sought—again—to achieve Lord Goff’s ‘practical justice’. They perhaps recognised (here and in *White*) that the radical early 1990s ‘closing down’ of the areas in which a duty of care for economic loss could arise had been too sweeping in its nature.

Test your understanding by trying this section’s self-test questions <<https://iws.oup.support.com/embed/access/content/horse9e-student-resources/horse9e-self-test-questions-7-6>>.

7.7 Conclusion

p. 210 The starting point in relation to pure economic losses—those financial losses that are not consequential on another type of loss—was that no recovery can be made for pure economic loss caused by negligence (*Spartan Steel*). Much of the justification for this was based on policy considerations: a fear of indeterminate or ‘crushing’ liability and that allowing ↵ recovery would interfere too much with contract law and the role of insurance. As we have seen, however, the law on pure economic loss came to be defined more by *how* the loss was caused—by a negligent statement or a negligent activity or defective product. Economic loss stemming from activities (e.g. building) or defective products (including houses) is not recoverable in the tort of negligence, whereas economic loss arising from negligent statements or services can be, providing certain conditions are met.

In *Barclays Bank*, the House of Lords suggested that three categories of case now exist in which a claimant may succeed in a claim for pure economic loss. The first is where there is a clear analogy to an existing situation that has already been recognised by the courts, as in other types of negligence claim. Secondly, where this is not possible, a claimant may fulfil the test for the incremental expansion of tortious liability into a novel area (showing ‘proximity’, ‘foreseeability’ and that it would be ‘fair, just and reasonable’ to impose liability in that situation).

Lastly, there are situations where the claimant can establish that their claim satisfies the four *Hedley Byrne* principles. These are based on the special (fiduciary) nature of a relationship in which there is an assumption of responsibility coupled with reasonable reliance. The principles have, however, in more recent years been applied beyond statements to encompass negligent provision of certain services, reflecting a more flexible approach and a willingness on the part of the courts to do practical justice. In adopting this more flexible approach, the courts have relied heavily on the reformulation of the ‘assumption of responsibility’ test outlined by Lord Goff in *Henderson v Merrett*, as adapted by *Barclays Bank*.

End-of-chapter questions

After reading the chapter carefully, try answering the questions which follow.

- 1 Is it possible to give a coherent account of the development of the law on pure economic loss in negligence?
- 2 Jane Stapleton describes the principles on which pure economic loss in negligence can be found to attract a duty of care as ‘soft concepts’. Do you agree?

If you would like to know what we think, check the **answer guidance** <<https://iws.oup.support.com/ebook/access/content/horsey9e-student-resources/horsey9e-chapter-7-answers-to-end-of-chapter-questions?options=showName>>.

Answering the problem question

Consider again the problem question at the start of this chapter. Now having read about the topic, **what would be your advice to the claimants?**

Here are some pointers to get you started:

- There is generally no duty of care in cases where the damage is 'pure' economic loss. To establish a duty, you would need to look at the exceptions to this rule, which stem from **Hedley Byrne**.
- R & C would sue A for their loss caused by her financial audit if their claim falls within the **Hedley Byrne** principles, including a relationship of trust and confidence, assumed responsibility and whether their reliance on the report was reasonable.
- ↩ R would also sue the solicitors. Though there is a negligent act, the question would be whether any duty of care was owed by the solicitors to R. **White v Jones** may help R here.

If you need some more guidance:

- See the **annotated version of the problem with issues and cases to consider** <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-chapter-7-annotated-problem-question-interactive>>.
- Check your answer against the **suggested outline answer** <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-chapter-7-answers-to-problem-question>>.

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Further reading

A good place to start further reading is Paula Giliker's article. Although it discusses Canadian law, it provides useful commentary on the issues outlined in this chapter as well as suggestions for reform.

Barker, Kit 'Wielding Occam's Razor: Pruning Strategies for Economic Loss' (2006) 26 Oxford Journal of Legal Studies 289

Giliker, Paula 'Revisiting Pure Economic Loss: Lessons to be Learnt from the Supreme Court of Canada' (2005) 25 Legal Studies 49

Hughes, Andrew and Nicolas J McBride 'Hedley Byrne in the House of Lords: An Interpretation' (1995) 15 Legal Studies 376

Quill, Eoin 'Consumer Protection in Respect of Defective Buildings' (2006) 14 Tort Law Review 105

Stapleton, Jane 'Duty of Care and Economic Loss: A Wider Agenda' (1991) 107 Law Quarterly Review 249

Additional suggestions for further reading can be found in this chapter's **web links** <<https://iws.oup.support.com/ebook/access/content/horsey9e-student-resources/horsey9e-chapter-7-web-links?options=showName>>.

Notes

- ¹ See e.g. **Figure 21.1** in **section 21.3.1**.
- ² These torts rely on a defendant's intention, rather than carelessness, and are not covered in this book.
- ³ There is also a difference between advice and 'information', as confirmed by the Court of Appeal in *Manchester Building Society v Grant Thornton UK LLP* [2019].
- ⁴ See also *D Pride & Partners (A Firm) v Institute for Animal Health* [2009] where it was found that no duty of care was owed to livestock farmers who sustained pure economic losses as a result of a negligently caused outbreak of foot and mouth disease which resulted in the establishment of control zones and a ban on exports designed to prevent the spread of the disease.
- ⁵ An appeal to the Supreme Court was scheduled for 2011 but the parties settled out of court instead.
- ⁶ Though this does not always preclude recovery. In relation to the Buncefield oil depot explosions referred to earlier (*Shell UK Ltd and others v Total UK Ltd and others* [2010]), it was estimated that Total would be liable for compensation running to over £600 million (see Chris Green 'Final Cost of Buncefield Fire could hit £1bn' *The Independent* 12 December 2008).
- ⁷ See e.g. Jane Stapleton 'Duty of Care and Economic Loss: A Wider Agenda' (1991) 107 *Law Quarterly Review* 249.
- ⁸ Which is when foreseeability is assessed, see **section 9.3.1**.
- ⁹ The alternative policy argument that imposing a duty to compensate for foreseeable economic loss might act as a deterrent and encourage workers to take more care at work was rejected.
- ¹⁰ In the washing machine example at the start of the chapter, although the cost of replacing the washing machine itself would be considered pure economic loss in tort, it would in fact be recoverable under contract if it was the *machine* that was faulty—a distinction we encounter when looking at product liability in **Chapter 12**.
- ¹¹ **Hedley Byrne** was decided at a time when only 'fraudulent' and 'innocent' misrepresentations were legally recognised in the context of making a statement that induced someone to enter a contract. Because fraud required proof on the part of the claimant, few cases were successful. But, at the same time, often there was something more than wholesome innocence on the part of the statement-maker. In **Hedley Byrne**, Lord Denning referred back to his dissenting judgment in the Court of Appeal case of *Candler v Crane Christmas & Co* [1951], where he had found that a duty of care could be owed by accountants preparing accounts knowing that the figures they provided would be *relied* upon by potential investors. In **Hedley Byrne**, he used this to 'create' a new tort of negligent misstatement, increasing the categories of potential claim for misrepresentation in contract by including negligence for the first time. (This was followed shortly afterwards by a statutory form of negligent misrepresentation in the Misrepresentation Act 1967.) Crucially, it also enabled claims to be made in three-party situations, where a misstatement is made by A to B, which induces B to enter a contract with C (rather than with A).

- ¹² Thus, it seems that the financial advisor in the scenarios outlined at the beginning of this chapter would be liable, if the four **Hedley Byrne** conditions are met, and there was no disclaimer in his contract of service.
- ¹³ And since the Supreme Court decision in *Jones v Kaney* [2011], this principle has been extended to expert witnesses in court paid for by a client to give evidence on their behalf—in this case it was a medical expert—who were until this point immune from suit. Note, however, that there is a distinction between ‘advice’ and mere ‘information’ provided by the defendant, as illustrated by *BPE Solicitors and another v Hughes-Holland (in substitution for Gabriel)* (Rev 1) [2017]. In that case, Lord Sumption defined ‘information’ cases as those in which ‘a professional adviser contributes a limited part of the material on which his client will rely in deciding whether to enter into a prospective transaction’ (at [41]).
- ¹⁴ See e.g. *Cattle v Stockton Waterworks* [1875].
- ¹⁵ See e.g. *Weller & Co v Foot and Mouth Disease Research Institute* [1966], a case concerned with lost profit after negligence caused the closure of local cattle markets. Undoubtedly this case—though ultimately unsuccessful—was brought in the wake of **Hedley Byrne** to test the extent of the relaxation.
- ¹⁶ See **section 2.2**.
- ¹⁷ Arguably, granting of approval falls somewhere between statements/advice and activity.
- ¹⁸ Their lordships based their decision on Lord Wilberforce’s two-stage duty test from **Anns**, see **section 3.2**.
- ¹⁹ Although note the dissent of Lord Brandon, who argued that the type of liability being found in this case was one that should only be recoverable in contract.
- ²⁰ It seems now that the **Junior Books** decision is confined to its own facts and will therefore not be resurrected or followed in future cases (see e.g. *Muirhead v Industrial Tanks Specialties* [1985]; *Greater Nottingham Co-operative Society v Cementation Piling Ltd* [1989]; *Losinjaska Plovidba v Transco Overseas Ltd (The Orjula)* [1995]). In fact, Burton LJ said that ‘the decision of the House of Lords in **Anns v Merton LBC**, like its ... decision in **Junior Books Ltd v Veitchi Co Ltd** [1983], must now be regarded as aberrant, indeed as heretical’ (*Robinson v PE Jones (Contractors) Ltd* [2011] at [92]).
- ²¹ Interestingly, the High Court of Australia had by this time already declined to follow **Anns** in *Sutherland Shire Council v Heyman* [1985]. New Zealand still allows claims from homeowners for defective inspections, etc that cause economic loss (*Invercargill City Council v Hamlin* [1994], confirmed by the New Zealand Supreme Court in *North Shore City Council v Body Corporate* [2010]). **Junior Books** was also called into question in *D & F Estates*, particularly by Lord Bridge, who preferred the dissenting opinion of Lord Brandon, and who stated there was such a ‘unique scope of the duty of care owed by the defender to the pursuer arising from that relationship that the decision cannot be regarded as laying down any principle of general application in the law of tort’ (at 19).
- ²² One reason for this, in addition to the general closing down of the scope of liability in negligence, was the passage of the Defective Premises Act 1972, which had not been considered in **Anns**. Section 1 imposes obligations on builders of domestic premises in respect of the quality and fitness of their work, which exist for a period of six years after construction is complete. In **Murphy**, Lord Bridge argued that ‘[i]t would be remarkable to find that similar obligations ... applicable to buildings of every kind and subject to no such exclusions or limitations as are imposed by the Act of 1972, could be derived from the builder’s common law duty of care’ (at 480–1).
- ²³ This rejection has been confirmed in later cases, including *Bellefield Computer Services Ltd v E Turner and Sons Ltd* [2000].

- ²⁴ Mark Lunney, Donal Nolan and Ken Oliphant *Tort Law: Text and Materials* (6th edn OUP 2017) 404.
- ²⁵ See further **Chapter 6**.
- ²⁶ See **section 7.3**.
- ²⁷ Though cf *Chaudry v Prabhaker* [1989] where the claimant relied on the advice of a friend who ‘had a lot to do with motor cars’ to find her a used car. He negligently found and recommended her to buy a car that had been in an accident, rendering it worthless. By a majority, the Court of Appeal agreed that he owed the claimant a duty of care in respect of her economic loss. Presumably this was because she had asked him to act as her agent, bringing this closer to a business arrangement and away from a purely domestic one.
- ²⁸ This would be, in the context of professional negligence, subject to the Unfair Contract Terms Act 1977, s 2, thus any disclaimer could be struck out of the contract if its terms were deemed unreasonable by a court or if the negligence resulted in personal injury or death.
- ²⁹ Previous cases of this nature had been successful, e.g. *Emeh v Chelsea and Kensington AHA* [1985] and *Thake v Maurice* [1986].
- ³⁰ Though its core policy was recently confirmed in *ARB v IVF Hammersmith* [2018]. See further Julie McCandless and Kirsty Horsey ‘Reproductive Harm, Social Justice and Tort Law: Rethinking “Wrongful Birth” and “Wrongful Life” Claims’ in Kirsty Horsey (ed) *Diverse Voices in Tort Law* (Bristol University Press 2024) 79–102.
- ³¹ The House of Lords also confirmed in this case that when there are concurrent obligations in contract and tort, the claimant can choose which one to sue in (though not if the contract expressly provides that liability may be contractual only: see *Robinson v PE Jones (Contractors) Ltd* [2011]).
- ³² Similar points were made in respect of a claim about a pension fund in *Gorham v British Telecommunications plc* [2000].
- ³³ Though Lord Hoffmann continued to believe the existence of a voluntary assumption of risk is ‘critical’ when establishing a duty of care in respect of economic loss (at [14]) and Lord Mance defined it as ‘a core area of liability’ (at [28]). Compare Lord Bingham, who thought it was a ‘sufficient but not necessary condition’ (at [4]). Lunney, Nolan and Oliphant suggest that ‘the role of assumption of responsibility seems to be a means of satisfying the three-stage test [**Caparo**], but not the only means’ (n24 452). In *Sebry v Companies House* [2015], Edis J said that the assumption of responsibility and three-stage tests overlap, and followed the approach of Lord Bingham in **Barclays Bank** (at [107]), though noting later that the tests could give different answers. All this should now be read in light of comments in **Robinson v Chief Constable of West Yorkshire** [2018] and **Poole Borough Council v GN** [2019], which state that no general test was laid down in **Caparo** (see **section 3.3.2**).
- ³⁴ Similar points were made about the three-stage duty test from **Caparo** (by Lord Walker at [25], Lord Hoffmann at [14] and Lord Bingham at [7]). As we shall see, both the wider impact of **Caparo** (used to incrementally extend the disputed categories of duty) and its narrower *ratio* have been taken into account in economic loss claims. See also *Cramaso LLP v Ogilvie-Grant, Earl of Seafield and others (Scotland)* [2014].
- ³⁵ Compare *Williams and Reid v Natural Life Health Foods Ltd and Mistlin* [1998] and *West Bromwich Albion Football Club Ltd v Al-Safty* [2006]. Seemingly it matters who makes the statement, in what context and which party is deemed best able to bear the loss. Also see *James-Bowen and others v Commissioner of Police for the Metropolis (Rev 1)* [2016], where a claim for economic loss based on assumption of responsibility was rejected, but the overall claim was not struck out as it was deemed potentially arguable on normal common law duty of care principles (at [50]–[52]).

³⁶ You can watch Lord Sumption hand down the judgment <https://www.supremecourt.uk/watch/uksc-2016%5F0121/judgment.html>, explaining the facts and outcome of the case. Interestingly, though the Playboy Club's claim failed in negligence, it was later allowed to reframe the claim in the tort of deceit when new evidence emerged: see *Playboy Club London Ltd v Banca Nazionale del Lavoro SpA* [2018].

³⁷ See Carr LJ at [60].

³⁸ *Royal Bank of Scotland International Ltd v JP SPC 4 and another (Isle of Man)* [2022].

³⁹ See **section 3.3**.

⁴⁰ Therefore, finding the accountants liable would set a precedent potentially exposing accountants and auditors to vast sums in damages. The decision is clearly policy-based, designed to avoid opening the 'floodgates' of liability, perceived knock-on consequences of which would be inflated prices of accountancy services more generally and therefore a deleterious effect on all business transactions in society.

⁴¹ Also see *Marc Rich & Co v Bishop Rock Marine Co Ltd* [1995].

⁴² It was probably helpful that her case is distinct from **Caparo** on another ground: that it was only she who would be relying on the information, meaning there was no wider class of people about which to be concerned.

⁴³ In a consumer context such as this, the relevant legislation would now be the Consumer Rights Act 2015.

⁴⁴ It was this that precluded liability for a statement on a website in *Patchett v Swimming Pool & Allied Trades Association Ltd* [2009]. While the Court of Appeal found that online representations could in theory give rise to a duty of care, it also found that the website in question made clear that its information should not be solely relied upon.

⁴⁵ The claimant had no contract with the solicitor and due to the restrictive laws on privity of contract in operation at the time would have been entirely unable to sue in contract. The principle of privity of contract is that only the parties to a contract have any rights or obligations under it, thus only they can sue or be sued. After 1999, a claimant in a similar position to the woman in *Ross v Caunters* may be able to circumvent the privity rule, as the Contracts (Rights of Third Parties) Act 1999 allows parties outside a contract to sue if they were an intended beneficiary of the contract and were identified as such in the terms of the contract itself.

⁴⁶ Indeed, in his dissenting judgment, Lord Mustill says that the extended duty found by the majority went 'far beyond anything so far contemplated by the law of negligence' (at 291).

⁴⁷ See also *Rihan v Ernst & Young Global Ltd and others* [2020], which seems to extend the situations in which an employer may be under a duty to protect an employee from pure economic loss.

⁴⁸ See **Chapter 17**.

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